

2.2 CONSUMER GOODS AND PRODUCER GOODS

Multiple Choice Questions

1992/CE/II/06

Air-conditioners used in restaurants can be classified as

- (1) capital goods
 - (2) consumer goods
 - (3) scarce goods
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

1995/CE/II/14

Electric fans installed in classrooms are classified as

- (1) consumer goods.
 - (2) capital goods.
 - (3) economic goods.
- A. (1) only
B. (2) only
C. (1) and (3) only
D. (2) and (3) only

1996/CE/II/02

A department store reduced the price of its television sets but there was still unsold stock. These television sets are

- A. free goods because the quantity supplied is greater than the quantity demanded.
B. consumer goods because they are sold at a department store.
C. capital goods because they are man-made.
D. economic goods because people have to pay a price for them.

1999/CE/II/02

Jenny won a cooking competition and was awarded a famous brand microwave oven. This microwave oven is

- A. a free good because Jenny does not need to pay for it.
B. a consumer good because it is a prize in the competition.
C. an economic good because other competitors want to have it.
D. a capital god because it has a market value.

1999/CE/II/10

Which of the following are capital goods of a school?

- (1) teacher's knowledge of economics
 - (2) notes taken by the students
 - (3) watch-dogs
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
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2007/CE/II/12

Flour is a _____ when _____.

- A. capital good it is used by Mrs Chan to make a cake for her daughter's birthday
- B. consumer good it is for sale in the market
- C. capital good it is used in a cooking program shown on the television
- D. consumer good it is packed for delivery to customers

2009/CE/II/14

Some resort hotels in Japan provide natural hot springs for their customers. These resort hotels are engaged in and these hot springs are classified as

- A. primary production producer goods
- B. tertiary production producer goods
- C. secondary production consumer goods
- D. tertiary production consumer goods

2016/DSE/I/02

During the Hong Kong Computers and Communications Festival, the organisers distribute USB flash drives to the participants as gifts. To the organisers, these USB flash drives are _____.

- (1) economic goods
 - (2) producer goods
 - (3) consumer goods
- A. (2) only
 - B. (3) only
 - C. (1) and (2) only
 - D. (1) and (3) only

2022/DSE/I/04

The Government purchased the broadcasting rights of the Tokyo 2020 Olympic Games. This enabled all Hong Kong people to watch the events for free. The Olympic Games broadcast is a _____ because _____.

- A. public good.....the Government paid for the broadcasting rights
- B. private good one individual's consumption reduces its amount available to others
- C. free good.....more is not preferred
- D. consumer good.....it can directly satisfy human wants

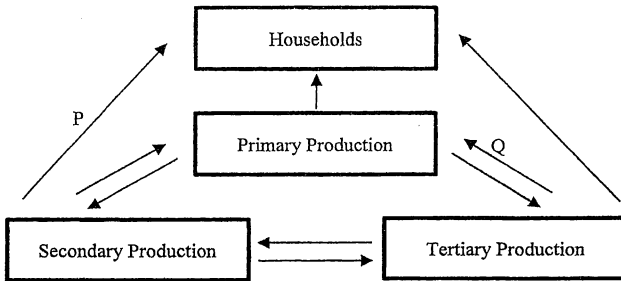
2023/DSE/I/05

Which of the following statements about the classification of goods is correct?

- A. Musical instruments used by street performers are public goods because the music performed with these instruments can be enjoyed concurrently by many people.
- B. Textbooks are private goods because the marginal cost of producing an additional unit of textbooks is positive.
- C. Artworks exhibited in the Hong Kong Palace Museum (香港故宮文化博物館) are consumer goods because costs are involved in their production.
- D. Popular free online videos for learning English are economic goods because their quantities are not enough to satisfy human wants.

2024/DSE/I/06

Refer to the following diagram.

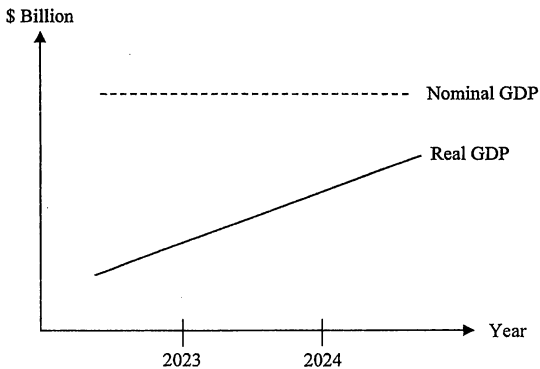


What do P and Q stand for respectively?

- A. consumer goods; services
- B. consumer goods; raw materials
- C. producer goods; services
- D. producer goods; raw materials

2025/DSE/I/40

Study the following diagram.



Suppose people did not expect any change in the general price level from 2023 to 2024. Which of the following persons would lose when the change in price level implied by the above diagram occurred?

- A. an investor holding a bond the interest rate of which is fixed at 2%
- B. a landlord receiving a fixed monthly rental
- C. an employer paying fixed salaries
- D. a debtor repaying a loan at a floating interest rate